

CVS Health Earnings Call Analysis

Q3 & Q4 2024 Transcript Analysis

Question 1: What phrases were consistent with the previous quarter commentary?

In Q3 2024, CVS continued to emphasize their commitment to achieving guidance for the PCW (Pharmacy and Consumer Wellness) and Health Services segments, with Tom Cowhey stating "we feel very good about our ability to achieve the guidance we gave last quarter on both the PCW and the health services segments." This confidence in these two segments remained consistent between quarters. Additionally, the company maintained consistent messaging around Medicare Advantage margin recovery, with both Q3 and Q4 2024 referencing the target of "3% to 5%" margins (though Q3 noted this was a change from the previous "4% to 5%" target). In Q4 2024, management reiterated this journey "back to target margins of 3% to 5%." The company also consistently discussed the PDR (Premium Deficiency Reserve) impacts throughout both quarters, with Q3 2024 noting potential additional PDRs in group Medicare if trends persisted, and Q4 2024 acknowledging the PDR "kind of messes a little bit with the cadence of earnings in 2024."

Question 2: What phrases were different from the previous quarter commentary?

A significant change between Q3 and Q4 2024 was the shift from withholding formal guidance to providing specific guidance. In Q3 2024, David Joyner stated "we are not providing a formal outlook for 2024 at this stage" due to visibility challenges in the healthcare benefits business. However, in Q4 2024, the company provided "initial full year 2025 guidance for adjusted EPS in the range of \$5.75 to \$6." Another key difference was in discussing Medicare Advantage margins: Q3 2024 stated margins were expected to be in the "negative 4.5% to 5% range," while Q4 2024 confirmed "the business itself ended the year with margins consistent with what we last said. They were in the negative 4.5% to 5% range" and outlined improvement plans for 2025. The tone shifted from uncertainty and caution in Q3 to more confidence and specificity about recovery plans in Q4, with Q4 featuring statements about "meaningful recovery in our Aetna business" and successful execution of annual enrollment period (AEP).

Question 3: Was guidance revised? Why?

Yes, guidance was significantly revised between Q3 and Q4 2024. In Q3 2024, CVS withdrew formal guidance entirely, with management stating "we are not providing a formal outlook for 2024 at this stage" due to "challenged our visibility and our 2024 outlook." The company cited elevated utilization trends, particularly in Medicare Advantage and Individual Exchange businesses, along with unfavorable development of 2024 medical costs primarily related to Q2 dates of service. In Q4 2024, CVS provided new 2025 guidance with adjusted EPS in the range of \$5.75 to \$6, representing "approximately 10% at the low end of the range" year-over-year growth after excluding favorable prior year reserve development. The guidance revision was driven by better visibility into their 2025 medical cost baseline, completion of annual enrollment period showing membership mix changes, deliberate benefit design changes and pricing

actions in Medicare Advantage (expecting "high single-digit percentage" membership decline), and progress on stabilizing Aetna operations under new leadership.

Question 4: What did the company say was going well?

In Q3 2024, CVS highlighted several successes: Signify Health "had a great year" with volume up "37% year over year inside the third quarter," and the PCW segment had "a really strong quarter" with record-high retail pharmacy script share at 27.3%. David Joyner stated the Caremark business was "running really well" with "client satisfaction and member NPS scores are as high as they've been" heading into a "really strong selling season" for 2025. In Q4 2024, the positive momentum continued with Tom Cowhey reporting "strong performance across multiple lines of business and favorable prior period reserve development." Steven Nelson, the new Aetna President, noted "really quick progress in a lot of areas" including "a really well-executed welcome season in January" and successful onboarding of "one of the largest accounts ever sold in Aetna, state of North Carolina." The company also achieved "best-in-industry performance" in Star ratings, with "two-thirds of our members will be in 4.5 star plans."

Question 5: What did the company say needed improvement?

In Q3 2024, CVS acknowledged significant challenges requiring improvement. The Medicare Advantage business faced major issues: "we clearly underestimated the medical cost" when pricing for 2024, "offered rich benefits which exacerbated our utilization pressures and grew membership rapidly," and experienced margins in the "negative 4.5% to 5% range." Management noted "we have been more acutely impacted than others in the industry." The Individual Exchange business also struggled, with the company stating "we grew that business too fast" and were "suffering significant losses in '24." In Q4 2024, while showing progress, management acknowledged continued work needed: the government business "has improved, driven by Medicare in particular, but it's still projected to be a negative margin," and "IFP, our Individual Exchange product is expected to still lose money in our current outlook." Tom Cowhey noted healthcare benefits margins were "1.5 points of margin compared to 2023, which was over 5% in 2022, which was 7%," emphasizing substantial improvement still needed. The company also needed to address pricing discipline, total cost of care management, and forecasting capabilities.

Question 6: What are announcements or goals stated for the next quarter?

In Q3 2024, CVS outlined several directional goals for 2025 without formal guidance. The company expected Medicare Advantage membership "disenrollment of 5% to 10%" combined with improved Star ratings to drive "margin recovery" as "a significant first step on our journey back to target margins of 3% to 5%." They anticipated the Individual Exchange business membership to "decrease" significantly due to "double-digit rate increases." For Q4 2024 and looking into 2025, CVS provided specific guidance: adjusted EPS range of \$5.75 to \$6, expecting to "shrink the Medicare Advantage membership by high single-digit percentage from year-end 2024." The company announced plans for approximately 270 store closures in 2025 (recorded as restructuring charges in Q3). CVS also projected healthcare benefits revenue of "approximately \$132 billion" with membership declines in Medicare Advantage and Individual Exchange "offset by Medicare program changes and growth in other products." Management expected 2025 to be "a transition year that positions us for outperformance of our long-term growth target in future years."

Question 7: How does the company expect to improve Sales and Margins?

In Q3 2024, CVS outlined a multi-faceted approach to margin improvement. For Medicare Advantage, they implemented "deliberate approach to our 2025 Medicare Advantage bids and our focused changes to our footprint" including exiting "underperforming counties" and pulling "underperforming products that will impact nearly half a million members," expecting these changes to "improve profitability in '25." The company took "double-digit rate increases" in the Individual Exchange business and expected to "shrink that book by as much as 20 to 25% next year." In Q4 2024, management detailed specific margin improvement strategies: "deliberate approach to our 2025 Medicare Advantage bids, combined with our improved Star ratings will improve margins this year," with over 40% of their Medicaid book repriced in early January 2025 showing "a line of sight to a mid-4 percentage point rate increase." Steven Nelson highlighted improvements in "pricing discipline" across Medicare Advantage, Individual Exchange, and Commercial businesses, plus enhanced "capabilities around forecasting and all the levers and capabilities around managing total cost of care."

Question 8: How does the company expect to improve Free Cash Flow and what is Capex expected to be over the next quarter or next 12 months?

This information is not comprehensively provided in the transcripts. In Q3 2024, CVS reported "year-to-date cash flow from operations of approximately \$7.2 billion" and noted they "returned \$837 million to shareholders through our quarterly dividend" during the quarter, ending with "approximately \$1.2 billion of cash at the parent and unrestricted subsidiaries." The company also mentioned their leverage ratio was "approximately 4.6 times, which is above our long-term target" and stated they "remain committed to maintaining our current investment-grade ratings and expect our leverage to return to more normalized levels as we execute on margin recovery in the Aetna business." However, the transcripts do not provide specific forward-looking guidance on free cash flow improvement strategies or capital expenditure expectations for the next quarter or 12 months. The only capex-related information was about store closures (270 stores in 2025) which would reduce rather than increase capital needs.

Question 9: What's the company's assessment of the consumer and economy?

In Q3 2024, CVS expressed caution about the consumer environment, noting "we remain cautious in our outlook for front-store sales, which have been pressured in recent quarters, consistent with the broader macroeconomic backdrop." David Joyner acknowledged "the retail sector is pressured, lots of headwinds in this market" when discussing the PCW segment's performance. In Q4 2024, the company maintained this cautious stance while noting broader healthcare system challenges. David Joyner stated "CVS Health operates in some of the most critical areas of healthcare, and our connections to the people we serve across the country has never been more important because of the challenges we see throughout the U.S. healthcare system. Rising healthcare costs put pressure on consumers as they see increasing challenges with affordability. These rising healthcare costs also put pressure on employers and the government, who largely pay the bill for healthcare." The company's assessment reflects a challenging consumer environment with affordability pressures, though they demonstrated resilience with strong script share growth despite these headwinds.

Question 10: Was there mentions around restructuring or distress? -Layoffs, dispositions, refinancing challenges, etc.

Yes, in Q3 2024, CVS announced significant restructuring activities. Tom Cowhey stated "we took a restructuring charge of nearly \$1.2 billion in the quarter. This amount reflects several components, including impairment charges for approximately 270 stores we expect to close in 2025, costs related to the discontinuation of non-core businesses, and costs associated with workforce optimization." The company's leverage ratio of "approximately 4.6 times, which is above our long-term target" indicated some financial stress, though management emphasized they "remain committed to maintaining our current investment-grade ratings." The company also recorded "premium deficiency reserves of approximately \$1.1 billion" in Q3 2024, comprised of "approximately \$670 million of healthcare costs and \$394 million of operating expenses specifically related to the write-off of unamortized deferred acquisition costs." In Q4 2024, the company mentioned implementing a "multiyear \$2 billion cost efficiency effort" with initial actions that "will offset the return of certain variable expenses in 2025." Despite these challenges, CVS maintained its dividend and showed progress on stabilization efforts.

Executive Summary

Key Findings from CVS Health Q3 & Q4 2024 Earnings Analysis:

Overall Trajectory: CVS experienced significant challenges in Q3 2024, particularly in its Aetna healthcare benefits business, leading to withdrawal of formal guidance. By Q4 2024, the company had stabilized operations and provided 2025 guidance showing a path to recovery, though significant work remains.

Major Challenges: Medicare Advantage margins in negative 4.5-5% range, Individual Exchange losses, elevated medical cost trends, and \$1.2 billion restructuring charge including 270 store closures.

Success Areas: Strong performance in Caremark/PBM business, record pharmacy script share (27.3%), Signify Health volume up 37% YoY, successful Star ratings improvement to best-in-industry performance, and strong execution of annual enrollment period.

Strategic Actions: Aggressive pricing and benefit design changes in Medicare Advantage and Individual Exchange, expected high single-digit membership declines, implementation of \$2 billion cost efficiency program, and strengthened leadership team at Aetna.

2025 Outlook: Adjusted EPS guidance of \$5.75-\$6 (representing ~10% growth), characterized as a "transition year" with embedded earnings potential of \$3-4 per share if Aetna returns to target margins of 3-5%.

Financial Position: Leverage at 4.6x (above target), committed to maintaining investment-grade rating, cautious consumer outlook with front-store sales pressure, but maintaining dividend and showing operational improvements.